STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Mr Roger Uridge

Of

7 Donovan Crescent
GRACEMERE QLD 4702

Prepared on:

1st June 2022

By your Adviser:

Andrew Lord *B Bus (Acc), Dip FS (Fin Plan)*

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

1/06/2022

Mr Roger Uridge
7 Donovan Crescent
GRACEMERE QLD 4702

Dear Roger,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today’s dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can’t predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are “p.a.” (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group’s “Approved Product List”. This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Structure and ownership of current and future investments
- Superannuation contribution strategies

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments, we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Roger, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Explore options as to the best use of your surplus cash.
- Consider appropriate superannuation contribution strategies.
- Place current and future assets under the most tax effective ownership structure.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr
First Name	Roger
Surname	Uridge
Gender	M
Date of Birth	02/12/1961
Age Last Birthday	60

Employment Details

Employment Status	Full Time
Occupation	Civil Inspector
Employer	Hartecs Group

Estate Planning

	Roger
Do you have a Current Will?	Yes
Do you have Current Powers of Attorney?	Yes
Do you have a Testamentary Trust?	No

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Residential Home	$312,500
Total Lifestyle Assets	**$312,500**

Investment Assets	
Southport Investment Property	$400,000
Total Investment Assets	**$400,000**

Superannuation Assets	
SMSF Member Balance at 30/06/21 (Roger)	$331,399
Total Superannuation Assets	**$331,399**

Total ASSETS	**$1,043,899**

LIABILITIES

Residential Property Loan (CBA)	$136,592
Southport Investment Property Loan (CBA)	$326,176
Personal Loan (CBA)	$95,542
Total Liabilities	**$558,310**

NET WORTH	**$485,589**

Notes: As the above information has been used in preparing our recommendations, please advise us of any errors or omissions.

The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon our discussions and your responses to the Investor Risk Profile questionnaire, it was determined that you can be classified as a **Balanced** investor.

- A Balanced investor places greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- Their portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.

A Balanced investor will typically diversify their investment in the following manner:

Australian Shares	34%
International Shares	20%
Fixed Interest	26%
Property	14%
Cash	6%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets, the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2021-22

Taxable income	***Tax on this income***
$1 – $18,200	Nil
$18,201 – $45,000	19c for each $1 over $18,200
$45,001 – $120,000	$5,092 plus 32.5c for each $1 over $45,000
$120,001 – $180,000	$29,467 plus 37c for each $1 over $120,000
$180,001 and over	$51,667 plus 45c for each $1 over $180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase - Tax rate = 15%

Superannuation in 'pre-retirement pension' phase - Tax rate = 15%

Superannuation in 'allocated pension' phase - Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate **(max 45% + medicare)**	n/a	**Tax free**
Super contributions (SGC, salary sacrifice)	n/a	**15%**	n/a
Investment income	Marginal tax rate **(max 45% + medicare)**	Maximum 15%	**Tax free***
Capital gains	**Marginal tax rate** (50% discount if held for more than 12 months)	**10%** (15% if asset held less than 12 months)	**Tax free***

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-67	Age 68-74*	Age75 and over
From 1 July 2012	$25,000	**$25,000**	**$25,000**	**$25,000**	SGC only
From 1 July 2013	$25,000	**$25,000**	**$35,000**	**$35,000**	SGC only
From 1 July 2014	$30,000	**$35,000**	**$35,000**	**$35,000**	SGC only
From 1 July 2017	$25,000	**$25,000**	**$25,000**	**$25,000**	SGC only
From 1 July 2021	$27,500	**$27,500**	**$27,500**	**$27,500**	SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 67	Age 67 to 74	Age 75 and over
From 1 July 2007	$150,000 p.a.	May bring forward two years of contributions to make a $450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	$180,000 p.a.	May bring forward two years of contributions to make a $540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	$100,000 p.a.	May bring forward two years of contributions to make a $300,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2021	$110,000 p.a.	May bring forward two years of contributions to make a $330,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2022	$110,000 p.a.	May bring forward two years of contributions to make a $330,000 contribution in one financial year		Cannot contribute

Concessional Superannuation Contributions Carry Forward

- If you have a total superannuation balance below $500,000 you can carry forward any unused concessional contributions cap amounts that accrue from 1 July 2018 for up to five financial years. This allows eligible members who do not use all of their concessional cap in a particular financial year, to carry forward their unused concessional cap amounts to future years.
- To be eligible to make catch-up concessional contributions in a year, you must meet the following conditions:
  - have a 'total superannuation balance' of less than $500,000 as at 30 June at the end of the financial year immediately preceding the financial year in which the concessional contribution is to be made
  - have previously unused concessional contributions cap amounts that have accrued in one or more of the five financial years preceding the year in which the concessional contribution is made.
- Roger, the following concessional contributions have been made to your Self-Managed Superannuation Fund in recent years:

Financial Year	Roger	Total Allowable Contributions
2018/19	$11,397	$25,000
2019/20	$20,450	$25,000
2020/21	$17,061	$25,000
2021/22	$16,400*	$27,500
TOTAL	**$65,308**	**$102,500**

* It is estimated that your 2020/21 contributions will be:

$12,500	SG contributions – 10% of $125,000 salary
$ 3,900	Salary sacrifice of $150 per fortnight
$16,400	

- You therefore have a total of **$37,192** in concessional contributions available to you this financial year. This includes 'carry forward' contributions from the 2018/19, 2019/20 years and 2020/21 totalling **$26,092**.

Investments Currently Outside of Superannuation

- Roger, you have surplus cash of approximately $60,000.
- You seek advice with respect to the best use of these funds.

Recommendation:

- In light of the fact that superannuation is a tax effective environment to hold investment assets, we recommend to make superannuation contributions in the 2021/22 financial year (these contributions remain within the contribution caps detailed in the 'Superannuation Contribution Limits' and 'Concessional Superannuation Contribution Carry Forward' sections):

		2021/22	2022/23	2023/24	Total
Roger	**Concessional Contribution Cap**	**$27,500**	**$27,500**	**$27,500**	
	Personal Concessional Contributions Available (including 'carry forward' contributions)	$37,192	$15,000	$15,000	
	Carry Forward Contribution	$26,092	-	**-**	**$26,092**
	Concessional Contribution	$11,100	$15,000	$7,808	**$33,908**
	Total Concessional Contribution	**$37,192**	**$15,000**	**$7,808**	**$60,000**
	Taxable Income	$87,808	$110,000	$117,192	
	Reduction in Income Tax Payable	**$11,535**	**$3,879**	**$1,398**	**$19,854**

The concessional contributions detailed above are the optimal contributions based on a gross income of $125,000 p.a.

Benefits:

- Any assets held within the fund are effectively being held in the most tax effective environment.
- The returns on balances held within superannuation and invested should be higher than the current returns on cash held in bank deposits.

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Personal Concessional Contributions

Roger, you are currently earning a taxable income of $125,000 p.a.

The concessional superannuation contribution cap is $27,500 per annum. Your employer (SG) contributions equate to approximately $12,500 p.a. Hence, you have approximately $15,000 of unused cap each year.

By making the personal concessional superannuation contributions detailed on the previous page, you will avail of the following benefits:

Benefits:

- Personal concessional super contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Your personal concessional super contributions will be taxed at a maximum of 15% compared to the 39% if taken as income.

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Tax Liabilities

Current Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Salary	$125,000			
Deductions				
Current Salary Sacrifice		$3,900		
TAXABLE INCOME			**$121,100**	
TAX PAYABLE				**$29,874**
Medicare Levy				$2,422
NET TAX				**$32,296**

*Note: the *$3,900 superannuation contribution will be subject to contributions tax of 15% ($585). Therefore, total tax incurred will be $32,881 ($32,296 + $585).

Proposed Estimated Tax Liability ($37,192 personal concessional super contribution)

Income Source	Amount Received	Deduction	Taxable Income	Tax
Salary	$125,000			
Deductions				
Personal concessional super contribution		$37,192		
TAXABLE INCOME			**$87,808**	
TAX PAYABLE				**$19,005**
Medicare Levy				$1,756
NET TAX				**$20,761**

* Note: the $37,192 superannuation contribution will be subject to contributions tax of 15% ($5,579). Therefore, total tax incurred will be $26,340 ($20,761 + $5,579).

Therefore, the overall tax benefit is anticipated to be $6,541 (i.e. $32,881 - $26,340)

Superannuation – Pension Phase and Retirement Income Streams

Roger, current legislation allows you (as you have reached preservation age) to commence an income stream with your superannuation monies. From age 60, all income received from this income stream is tax free.

Previously, once you commenced an income stream all income on the amount funding the income stream was tax free as opposed to being taxed at 15% when in accumulation phase. However, from 1st July 2017 the taxation of earnings in pension phase continues to apply to 'transition to retirement' income streams where preservation age has been reached and you have not yet retired.

The minimum pension amount that you must draw is 4% per annum whilst the maximum pension you can draw is 10%, with the specific amounts being re-calculated in July each year.

Income that is taxed within the super fund includes distributions and any capital gains realised via the selling of units. <u>It is therefore acceptable to conclude that tax on earnings is not simply 15% of the return rate of your fund each year, but an amount less than this based on what has occurred in the fund.</u>

Recommendations:

- Consider moving your superannuation from 'accumulation' to 'pension' phase, only if you do not have the ability to make the maximum personal concessional contributions to superannuation each year.

Benefits:

- The income stream assists in meeting your cash flow requirements in a tax effective manner.

For Consideration:

- The minimum income stream that must be drawn from any Allocated Pension is:

Age	Under 65	65-74	75-79	80-84	85-89	90-94	95+
Reduced percentage factor (2021-22 and 2022-23 financial years)	2%	2.5%	3%	3.5%	4.5%	5.5%	7%
Standard percentage (other years)	4%	5%	6%	7%	9%	11%	14%

Superannuation Contributions v Debt Repayment

- You have three loans with CBA totalling approximately $558,310 and are broken down as following:
  - Residential home loan is $136,592 at a variable rate of 2.85%
  - The investment property loan is $326,176 at a fixed rate of 2.69%
  - Personal Loan is $95,542 at a variable rate of 2.59%

- The options available to you are:
  - **Focus on paying down debt.**
  - **Direct surplus funds into superannuation rather than pay down debt**

Option A – pay down debt by $60,000

- By reducing the principal by this amount, the benefit this provides to you may be calculated as follows:

  Interest saved on $60,000 @ 2.85% = $1,710 p.a.

  The total cost at this interest rate over a 10-year period is **$17,100**.

Option B – direct $60,000 into superannuation

- By directing these monies into superannuation via concessional superannuation contributions, the monies will then be invested within superannuation.
- Using an average superannuation return of 7% p.a. the $60,000 is projected to be valued at **$118,029**.

Recommendation:

- Roger, we suggest directing surplus monies into superannuation via concessional contributions in your name as detailed above, rather than directing these towards additional loan repayments.
  - This plan outlines $26,092 will be contributed through carry-forward contributions.
  - The remaining $33,908 will be used to reach the concessional contribution cap of $27,500 for current financial year and the following two financial years.

Basis of Recommendation:

- The growth rate within superannuation is anticipated to exceed the interest you will incur on the borrowed funds (predominantly due to record low interest rates currently available).
- You will be building assets in what will ultimately be a tax-free environment (superannuation when in pension phase).

What is paid to your adviser

Plan Fee

As part of the recent Zurich Insurance claim, you are entitled to an additional Financial Planning benefit of $3,000 which covers the fee for this Statement of Advice.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non-Superannuation Products

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Complete the application forms in the Product Disclosure Statements
- Sign and date the Authority to Proceed
- Return the forms to us
- Retain a copy for your records

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended; however, you will need to study the investment statements of the recommended products carefully before you decide to invest.